Province of Alberta

ASSURED INCOME FOR THE
SEVERELY HANDICAPPED ACT

ASSURED INCOME FOR THE SEVERELY HANDICAPPED GENERAL REGULATION

Alberta Regulation 96/2026

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Note

All persons making use of this document are reminded that it has no legislative sanction. The official Statutes and Regulations should be consulted for all purposes of interpreting and applying the law.

(no amdt)

ALBERTA REGULATION 96/2026

Assured Income for the Severely Handicapped Act

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Interpretation

1(1) In this Regulation,

(a) "Act" means the *Assured Income for the Severely Handicapped Act*;

(b) "Alberta escalator" means the Alberta escalator as defined in section 44.2 of the *Alberta Personal Income Tax Act*;

(c) "continuing care home" means a continuing care home as defined in the *Continuing Care Act*;

(d) "death benefit" means a payment of a non-recurring nature made as a result of the death of a person;

(e) "financial hardship" means a situation in which a person is unable to arrange the person's circumstances and financial affairs to meet the basic needs of the person, the person's cohabiting partner and the person's dependent child;

(f) "financially interdependent" does not include a financial interdependence based on the provision of child support, spousal support or adult interdependent partner support;

(g) "institution" means a place or part of a place

(i) for the detention or correction of persons who have committed a crime or who are charged with the commission of a crime, or

(ii) designated as a facility by the *Mental Health Act Forms and Designation Regulation* (AR 136/2004);

(h) "principal residence" means

(i) a home in which an applicant or client ordinarily resides or, if an applicant or client is residing in a facility or institution, in which the applicant's or client's cohabiting partner or dependent child principally resides, or

(ii) the home quarter section, including the buildings on the quarter section, of a farm on which an applicant or client ordinarily resides or, if an applicant or client is residing in a facility or institution, on which the applicant's or client's cohabiting partner or dependent child principally resides;

(i) "severe disability" means a substantial impairment of mental or physical functioning or both

(i) that is permanent or likely to continue for at least 2 years,

(ii) the existence and likely duration of which has been diagnosed and substantiated through relevant medical or psychological reports provided under section 3(2)(a) or 4(2)(a), as applicable, and

(iii) for which all relevant treatment that could lessen the impairment has been completed and in which no improvement is expected.

(2) In the Act,

(a) "cohabiting partner" means one person with whom a person

(i) is residing and

(A) who is the person's spouse,

(B) with whom the person has a relationship of interdependence as defined in the *Adult Interdependent Relationships Act*, or

(C) with whom the person has a natural or adopted child,

or

(ii) is financially interdependent and has a relationship described in subclause (i)(A), (B) or (C) except that the persons are not residing together;

(b) "dependent child" means, in respect of a person, a child who is

(i) unmarried or not in a cohabiting partner relationship,

(ii) not provided with any financial assistance under a Government or Government of Canada program designated by the Minister under subsection (3),

(iii) dependent for support on the person,

(iv) residing with the person or would ordinarily be if the child or the person was not residing in a facility, and

(v) under 18 years of age or, if attending an education program provided under the *Education Act*, under 20 years of age;

(c) "facility" means

(i) a continuing care home,

(ii) a part of an approved hospital, as defined in the *Provincial Health Agencies Act*, in which a person receives similar care to that provided in a continuing care home if

(A) the person ordinarily resides in a continuing care home and is temporarily residing at the approved hospital to receive medical treatment, or

(B) the person has been assessed as requiring facility-based care under a facility-based care assessment, as defined in the *Continuing Care Regulation* (AR 21/2024), and is residing in the approved hospital while waiting for admission to a continuing care home,

or

(iii) a residential facility or part of a residential facility approved by the Minister under subsection (4);

(d) "severe disability that permanently prevents employment" means a severe disability determined by a director under section 3(2)(b) to permanently prevent employment;

(e) "severe disability that substantially impedes employment" means a severe disability determined by a director under section 4(2)(b) to substantially impede employment continuously or episodically.

(3) The Minister may designate a Government or Government of Canada program for the purpose of subsection (2)(b)(ii).

(4) The Minister may approve a residential facility or part of a residential facility for the purpose of subsection (2)(c)(iii) in exceptional circumstances and if the applicant or client has unique care needs.

Eligibility

General eligibility requirements for benefits

2(1) Subject to subsections (2) and (5), a person is eligible to receive a benefit under section 3, 3.02 or 3.04 of the Act, as applicable, if the person satisfies a director that the person

(a) is a

(i) Canadian citizen, or

(ii) permanent resident within the meaning of the *Immigration and Refugee Protection Act* (Canada),

(b) is ordinarily resident in Alberta,

(c) is 18 years of age or older, and

(d) meets the additional eligibility requirements set out in subsections (7) and (8) and sections 3, 4 and 5, as applicable.

(2) A person is not eligible to receive a benefit under section 3, 3.02 or 3.04 of the Act if the person

(a) receives a monthly pension under Part 1 of the *Old Age Security Act* (Canada),

(b) is, subject to subsection (3), a member of a household unit, as defined in the *Income and Employment Supports Act*, that receives assistance under Part 2, Division 1 of the *Income and Employment Supports Act*,

(c) is a resident of an institution described in section 1(1)(g)(i), or

(d) has been convicted in the previous 12 months, unless exempted under subsection (4), of

(i) fraud under the *Criminal Code* (Canada) in relation to a benefit provided under the Act or assistance provided under Part 2 of the *Income and Employment Supports Act*, or

(ii) an offence under section 11 of the Act or section 41 of the *Income and Employment Supports Act*.

(3) A person is eligible to receive a benefit under section 3.04 of the Act even if the person is a member of a household unit, as defined in the *Income and Employment Supports Act*, that receives assistance under section 100 of the *Income Support, Training and Health Benefits Regulation* (AR 122/2011).

(4) A director may exempt a person from the application of subsection (2)(d).

(5) A person is not eligible to receive a benefit under section 3 or 3.02 of the Act if the person is, unless exempted under subsection (6), a resident of an institution described in section 1(1)(g)(ii).

(6) A director may exempt a person from the application of subsection (5) for up to 6 months if, in the director's opinion, the person will not be a resident of the institution for more than the duration of the exemption.

(7) To be eligible to receive a health benefit under section 13(1)(b), including a health benefit provided to a cohabiting partner or dependent child, or a personal benefit under section 12(1)(b), a person must, if required by the Minister, agree to repay the benefit.

(8) To be eligible to receive a personal benefit under section 12(1)(a), a person must, if required by a director, agree to repay the benefit.

Additional eligibility requirements for benefits — assured income for the severely handicapped program

3(1) A person meets the additional eligibility requirements to receive a benefit under section 3 of the Act if the person satisfies a director that

(a) the person has a severe disability that permanently prevents employment,

(b) the income, as determined by a director in accordance with Schedule 1, of the person and the person's cohabiting partner is less than the total of

(i) the monthly amount, before the application of section 11(1), of the living allowance benefit or modified living allowance benefit that would be provided under section 8 or 9, as applicable, to the person, and

(ii) the monthly amount, before the application of section 11(1), of any child benefit that would be provided under section 10 to the person,

and

(c) the value of all assets, as determined by a director in accordance with Schedule 2, of the person and the person's cohabiting partner is

(i) $100 000 or less, or

(ii) $5000 or less, in the case of eligibility for a personal benefit.

(2) For the purpose of subsection (1)(a),

(a) the person must provide a director with

(i) relevant medical or psychological reports that diagnose and substantiate the existence and likely duration of the person's substantial impairment of mental or physical functioning or both, and

(ii) any other relevant reports and examinations requested by the director,

and

(b) a director may determine, without considering any factors other than the person's severe disability and its impact on the person's ability to participate in employment, whether the severe disability permanently prevents employment.

(3) If the Minister determines that a person is in financial hardship, the Minister may exempt that person from the requirement set out in

(a) subsection (1)(b), in the case of eligibility for a health benefit, and

(b) subsection (1)(c)(ii).

Additional eligibility requirements for benefits — Alberta disability assistance program

4(1) A person meets the additional eligibility requirements to receive a benefit under section 3.02 of the Act if the person satisfies a director that

(a) the person has a severe disability that substantially impedes employment,

(b) the income, as determined by a director in accordance with Schedule 1, of the person and the person's cohabiting partner is less than the total of

(i) the monthly amount, before the application of section 11(1), of the living allowance benefit or modified living allowance benefit that would be provided under section 8 or 9, as applicable, to the person,

(ii) the monthly amount, before the application of section 11(1), of any child benefit that would be provided under section 10 to the person, and

(iii) the monthly amount, before the application of section 11(1), of any personal benefit that would be provided under section 13 of Schedule 3 to the person,

and

(c) the value of all assets, as determined by a director in accordance with Schedule 2, of the person and the person's cohabiting partner is

(i) $100 000 or less, or

(ii) $5000 or less, in the case of eligibility for a personal benefit other than a personal benefit provided under section 13 of Schedule 3.

(2) For the purpose of subsection (1)(a),

(a) the person must provide a director with

(i) relevant medical or psychological reports that diagnose and substantiate the existence and likely duration of the person's substantial impairment of mental or physical functioning or both, and

(ii) any other relevant reports and examinations requested by the director,

and

(b) a director may determine, without considering any factors other than the person's severe disability and its impact on the person's ability to participate in employment, whether the severe disability substantially impedes employment continuously or episodically.

(3) If the Minister determines that a person is in financial hardship, the Minister may exempt that person from the requirement set out in

(a) subsection (1)(b), in the case of eligibility for a health benefit, and

(b) subsection (1)(c)(ii).

(4) A director may exempt a person from the requirement set out in subsection (1)(a) for a period specified by the director that falls between when the person makes an application to a director under section 4 of the Act and when a director determines whether the person is eligible to receive a benefit under section 3 of the Act.

(5) For greater certainty, a person's receipt of a benefit under section 3.02 of the Act during the time that the person was exempted under subsection (4) must not be taken into account in a subsequent determination of whether the person is eligible to receive a benefit under section 3.02 of the Act.

Additional eligibility requirements for benefits — Alberta disability assistance program enduring health benefits

5 A person meets the additional eligibility requirements to receive a health benefit under section 3.04 of the Act if the person satisfies a director that

(a) the person received, immediately before the person ceased to be eligible, as described in section 3.04(b) of the Act, to receive a benefit under section 3.02 of the Act, employment or self-employment income as determined by a director in accordance with Schedule 1, and

(b) the value of all assets, as determined by a director in accordance with Schedule 2, of the person and the person's cohabiting partner is $100 000 or less.

Benefits

Benefit commencement date

6(1) In this section, "commencement date" means the first day of the month in which a director receives the information that the director considers necessary to determine whether a person is eligible to receive a benefit.

(2) A director must not provide an eligible person with a benefit under section 3 or 3.02 of the Act in respect of any period before the commencement date.

Benefit amounts and adjustments

7(1) This section applies to the following benefits:

(a) a living allowance benefit;

(b) the non-accommodation portion of a modified living allowance benefit;

(c) a child benefit;

(d) a personal benefit.

(2) Subject to subsection (3), the amount of a benefit referred to in subsection (1) is as follows:

(a) in the case of a benefit referred to in subsection (1)(a), the amount set out in section 8(2) or (3) or determined in accordance with section 8(4) or (5), as applicable;

(b) in the case of a benefit referred to in subsection (1)(b), the amount set out in section 9(2)(a);

(c) in the case of a benefit referred to in subsection (1)(c), the amount determined under section 10(2);

(d) in the case of a benefit referred to in subsection (1)(d), the amount determined under section 12(3).

(3) Subject to subsection (4), effective January 1 of the calendar year immediately following the calendar year in which this section comes into force, the amount of a benefit referred to in subsection (1) must be adjusted annually by an amount equal to

(a) the amount of the benefit as of December 31 of the previous calendar year,

multiplied by

(b) the Alberta escalator.

(4) Subsection (3) does not apply to an amount determined under section 12(3) that is

(a) a reimbursement of an actual cost,

(b) an amount established in an agreement entered into by the Minister, or

(c) based on an amount determined under another enactment or Government program.

Living allowance benefit

8(1) A living allowance benefit may be provided monthly to an applicant or client who does not reside in a facility.

(2) Subject to subsections (4) and (5) and section 11(1), the monthly amount of the living allowance benefit for a person with a severe disability that permanently prevents employment is $1940.

(3) Subject to subsections (4) and (5) and section 11(1), the monthly amount of the living allowance benefit for a person with a severe disability that substantially impedes employment is $1740.

(4) Subject to subsection (5) and section 11(1), if an applicant or client and the applicant's or client's cohabiting partner each are an applicant or client eligible to receive a living allowance benefit, the monthly amount of the living allowance benefit for each of the applicant or client and the applicant's or client's cohabiting partner is 88% of the monthly amount of the living allowance benefit set out in subsection (2) or (3), as applicable.

(5) Subject to section 11(1), if an applicant or client is in a transitional bed in a hospital for which the applicant or client is not being charged and, in a director's opinion, refuses a transfer to a continuing care home or a discharge from the hospital to the community, the monthly amount of the living allowance benefit for the applicant or client is equal to the amount set out in section 9(2)(a).

Modified living allowance benefit

9(1) A modified living allowance benefit consisting of a non-accommodation portion and an applicable accommodation charge may be provided monthly to an applicant or client who resides in a facility.

(2) Subject to section 11(1), the monthly amount of the modified living allowance benefit is the total of

(a) $373, and

(b) the amount of the applicable accommodation charge.

(3) For the purpose of subsection (2)(b), the amount of the applicable accommodation charge is the actual amount payable by the applicant or client, up to the maximum amount of the accommodation charge set under the *Continuing Care Act*, in respect of a private room.

(4) The non-accommodation portion of a modified living allowance benefit may be provided directly to an applicant or client who resides in a facility.

(5) The applicable accommodation charge portion of a modified living allowance benefit must be provided directly to the facility in which the applicant or client resides, unless a director considers it appropriate in the circumstances to provide that portion directly to the applicant or client.

Child benefit

10(1) A child benefit may be provided monthly to one applicant or client per household.

(2) Subject to section 11(1), the monthly amount of the child benefit is the total of

(a) $300 for the first or only dependent child,

(b) $117 for any 2nd dependent child,

(c) $88 for any 3rd dependent child,

(d) $59 for any 4th dependent child, and

(e) $30 per dependent child for any subsequent dependent children.

Deductions from certain benefits

11(1) The following must be deducted from a living allowance benefit, modified living allowance benefit, child benefit or personal benefit provided under section 13 of Schedule 3:

(a) if the client resides in a group home owned and operated by the Government and designated by the Minister under subsection (2), the amount payable by the person for residence in that group home;

(b) the client's income as determined by a director in accordance with Schedule 1;

(c) if the client's cohabiting partner is not a client, the cohabiting partner's income as determined by a director in accordance with Schedule 1.

(2) The Minister may designate, for the purpose of subsection (1)(a), a group home owned and operated by the Government.

Personal benefit

12(1) Subject to subsection (2), a personal benefit may be provided

(a) in accordance with this section and Schedule 3 if a director considers the personal benefit to be necessary, or

(b) if the Minister considers the provision of the personal benefit to be necessary and approves the provision of the personal benefit.

(2) A personal benefit must not be provided if the same or a similar benefit is available from another program or source.

(3) Subject to section 11(1), the amount of a personal benefit is the amount determined by the Minister.

(4) The Minister may determine the frequency with which a personal benefit may be provided.

Health benefit

13(1) Subject to subsections (2), (3), (5), (7) and (8), a health benefit may be provided for a drug, essential diabetic supply, ambulance service, optical or dental good or service or other similar good or service

(a) as provided under a health benefit card issued by the Minister, or

(b) if approved by the Minister.

(2) A health benefit must not be provided to a person who is eligible to receive the same or similar benefit, equal to a health benefit that may be provided under subsection (1)(a), from another program or source.

(3) If a benefit available from another program or source is not equal to a health benefit that may be provided under subsection (1)(a), a director may provide, as the payor of last resort, a health benefit for the difference.

(4) Benefits available to a person under an employee health benefit plan are subject to subsection (2) unless, in a director's opinion, it is reasonable for the person not to participate in the plan.

(5) Subject to subsection (6), a health benefit must not be provided to a cohabiting partner or dependent child if the cohabiting partner or dependent child is not a Canadian citizen, unless the cohabiting partner or dependent child is legally resident in Alberta under the *Immigration and Refugee Protection Act* (Canada) and is

(a) a permanent resident or refugee who is not receiving financial assistance from the Government of Canada, or

(b) a person sponsored under a sponsorship agreement entered into under subsection 152(1) of the *Immigration and Refugee Protection Regulations* (SOR/2002-227) for whom the sponsor and, if any, the co-signer of the sponsorship agreement are not providing, in a director's opinion, adequate or appropriate support.

(6) A director may exempt a cohabiting partner or dependent child from the application of subsection (5).

(7) A health benefit must not be provided under section 3, 3.02 or 3.04 of the Act to a cohabiting partner or dependent child if the cohabiting partner or dependent child is a resident of an institution described in section 1(1)(g)(i).

(8) Subject to subsection (9), a health benefit must not be provided under section 3 or 3.02 of the Act to a cohabiting partner or dependent child if the cohabiting partner or dependent child is a resident of an institution described in section 1(1)(g)(ii).

(9) A director may exempt a cohabiting partner or dependent child from the application of subsection (8) for up to 6 months if, in the director's opinion, the cohabiting partner or dependent child will not be a resident of the institution for more than the duration of the exemption.

Employment support

14 The Minister may determine the types of employment supports that may be provided and the frequency with which an employment support may be provided.

Review of Benefits

Refusal, suspension, variation, discontinuation of benefits

15(1) A director may refuse, suspend, vary or discontinue a benefit provided under section 3, 3.02 or 3.04 of the Act for which an applicant or client is eligible

(a) if, in the director's opinion, the applicant or client, or the applicant's or client's cohabiting partner, has failed to

(i) make use of or claim

(A) income to which the applicant, client or cohabiting partner is entitled, or

(B) the benefit of an asset to which the applicant, client or cohabiting partner is entitled,

(ii) provide information required by section 5 of the Act or as required by a director under that section or has provided false or incomplete information, or

(iii) comply with a reasonable request of the director to authorize the director to gather or verify information directly from a third party for the purposes of section 5 of the Act,

(b) if, in the director's opinion, the applicant or client has

(i) failed to request a benefit under the *Canada Pension Plan* (Canada) or under Part 1 of the *Old Age Security Act* (Canada) or to assign payment of that benefit to the Minister in an amount equivalent to the living allowance benefit or modified living allowance benefit,

(ii) used a benefit for a purpose for which the benefit was not intended, or

(iii) temporarily left Alberta,

or

(c) if the applicant or client is a person sponsored under a sponsorship agreement entered into under subsection 152(1) of the *Immigration and Refugee Protection Regulations* (SOR/2002-227) and, in the director's opinion, the sponsor or, if any, the co-signer of the sponsorship agreement is capable of providing adequate or appropriate support.

(2) A director may refuse, suspend, vary or discontinue a benefit provided under section 3 or 3.02 of the Act for which an applicant or client is eligible

(a) if, in the director's opinion, the applicant or client, or the applicant's or client's cohabiting partner, has failed to provide the director with a copy of the applicant's, client's or cohabiting partner's Notice of Assessment in respect of an income tax return filed under the *Income Tax Act* (Canada), or

(b) if, in the director's opinion, the applicant or client has failed to

(i) make use of treatment to lessen the applicant's or client's impairment, or

(ii) comply with a referral made by the director.

(3) A director may refuse, suspend, vary or discontinue a personal benefit provided under section 3 or 3.02 of the Act for which an applicant or client is eligible if, in the director's opinion, the applicant or client has failed to consent to a reasonable request of the director to authorize the director to pay the applicant's or client's personal benefit to a third party.

(4) A director may refuse, suspend, vary or discontinue a benefit provided under section 3.02 of the Act for which an applicant or client is eligible if, in the director's opinion, the applicant or client has

(a) refused to seek or accept or has reduced or terminated the applicant's or client's reasonable employment, or

(b) refused or neglected to participate in or make use of an employment support.

Duty to notify director

16 For the purpose of section 5(3)(d) of the Act, an applicant or client must notify a director of the following:

(a) the termination or commencement of employment by the applicant or client or the applicant's or client's cohabiting partner;

(b) if longer than one month, the applicant's or client's or the applicant's or client's dependent child's institutionalization, placement in a facility or absence from Alberta;

(c) the commencement or dissolution of a cohabiting partner relationship;

(d) a change in the number of the applicant's or client's dependent children;

(e) a change in the applicant's or client's address or contact information;

(f) any matter that could result in the refusal, suspension, variation or discontinuation of a benefit under section 15.

Financial Administrators

Appointment

17(1) A director may appoint a financial administrator to administer all or part of a client's benefit without the client's consent in accordance with the process and criteria determined by the Minister under subsection (2).

(2) The Minister may determine the process and criteria by which a director may appoint a financial administrator to administer all or part of a client's benefit without the client's consent.

Duties

18(1) A financial administrator has the same obligations under the Act and this Regulation as the client whose benefit the financial administrator administers.

(2) A financial administrator must

(a) act in the client's best interests,

(b) maintain records of receipts and disbursements of the client's benefits, and

(c) provide, as required by a director, any information the director considers necessary to determine whether the financial administrator has been acting in the client's best interests.

(3) A financial administrator who is an owner, officer or employee of the place of care in which the client resides must not pay more for the client's residence and care than the amount that a director considers reasonable.

(4) A financial administrator must provide the client a reasonable amount, if available, from the client's living allowance benefit or modified living allowance benefit for the client's personal use.

Revocation of appointment

19 The appointment of a financial administrator may be revoked

(a) by a director if, in the director's opinion,

(i) the financial administrator has not fulfilled the financial administrator's obligations and duties, or

(ii) the appointment is no longer necessary,

(b) by the client if the financial administrator was appointed by consent and the client provides written notice to a director, or

(c) by the financial administrator if the financial administrator provides 30 days' written notice to a director.

Underpayments and Collection of Debts Due

Underpayments

20(1) Where a director determines that a client was underpaid a benefit, the director must pay the outstanding amount to the client.

(2) A director may deduct from the outstanding amount

(a) an amount or value of a benefit that the client must repay under section 7 of the Act, and

(b) a debt due to the Government by the client.

Deductions to collect debts due

21 To collect any debt due to the Government, a director may deduct the following from the living allowance benefit or modified living allowance benefit payable to the client:

(a) if there is a repayment agreement under section 9(4)(a) of the Act, the amount consented in the agreement to be deducted;

(b) if there is no repayment agreement under section 9(4)(a) of the Act, an amount determined by the director.

Repeal, Expiry and Coming into Force

Repeal

22 The *Assured Income for the Severely Handicapped General Regulation* (AR 91/2007) is repealed.

Expiry

23 For the purpose of ensuring that this Regulation is reviewed for ongoing relevancy and necessity, with the option that it may be repassed in its present or an amended form following a review, this Regulation expires on April 30, 2030.

Coming into force

24 This Regulation comes into force on the coming into force of section 6(16) of the *Financial Statutes Amendment Act, 2025 (No. 2)*.

Schedule 1

Determination of Income

Total income

1(1) When determining income, a director must include the following:

(a) income reportable under the *Income Tax Act* (Canada) that is not exempted by or under section 7;

(b) tax-exempt employment, self-employment or pension income of an Indian as defined in the *Indian Act* (Canada);

(c) the value of support, as determined by a director, received by a person sponsored under a sponsorship agreement entered into under subsection 152(1) of the *Immigration and Refugee Protection Regulations* (SOR/2002-227);

(d) trust income that a director deems under subsection (2) to be payable to a beneficiary under a trust;

(e) a Canada disability benefit under the *Canada Disability Benefit Act* (Canada) that is

(i) not paid for the purpose of offsetting a person's cost of applying for a disability tax credit under subsection 118.3(1) of the *Income Tax Act* (Canada), and

(ii) not exempted by section 7(2).

(2) A director may deem, for the purpose of subsection (1)(d), trust income to be payable to a beneficiary under a trust.

(3) Subject to subsection (4), when determining income, a director must apply the following deductions to income included under subsection (1):

(a) if the income is employment income,

(i) the deductions allowable under the *Income Tax Act* (Canada) for

(A) income tax,

(B) *Canada Pension Plan* (Canada) contributions,

(C) *Employment Insurance Act* (Canada) premiums,

(D) union, professional and like dues, and

(E) other employment expenses,

and

(ii) any deductions required by an employer as a condition of employment;

(b) if the income is self-employment income, limited or non-active partnership income or rental income, the deductions allowable under the *Income Tax Act* (Canada) for

(i) determining net income,

(ii) *Canada Pension Plan* (Canada) contributions, and

(iii) union, professional and like dues;

(c) if the income is employment insurance income, income tax;

(d) if the income is tax-exempt employment income of an Indian as defined in the *Indian Act* (Canada),

(i) the deductions that would have been allowable under clause (a)(i), had the income been taxable, and

(ii) any deductions allowable under clause (a)(ii);

(e) if the income is tax-exempt self-employment income of an Indian, as defined in the *Indian Act* (Canada), the deductions that would have been allowable under clause (b), had the income been taxable.

(4) A director is not required to deduct the following under subsection (3):

(a) any amount referred to in subsection (3)(a)(i), (b), (c), (d)(i) or (e) that, in the director's opinion, would not be allowed under the *Income Tax Act* (Canada) or that artificially reduces net income;

(b) any amount referred to in subsection (3)(a)(ii) or (d)(ii) that the director is not satisfied is being deducted as a condition of employment.

Partial income deductions

2(1) Subject to section 5, after application, subject to section 1(4), of any applicable deductions set out in section 1(3), a director must deduct, when determining income, the total of 100% of the income up to $300, if the applicant or client does not have a cohabiting partner or a dependent child, or up to $600, if the applicant or client has a cohabiting partner or dependent child, and 25% of the remainder from the following income:

(a) investment income;

(b) limited or non-active partnership income;

(c) non-pension annuity income;

(d) rental income;

(e) trust income.

(2) For the purposes of subsection (1), if both cohabiting partners are applicants or clients, the cohabiting partners are treated as if

(a) each cohabiting partner does not have a cohabiting partner, and

(b) only one cohabiting partner has, if any, a dependent child.

Income deductions for cohabiting partners

3(1) Subject to subsection (2) and section 5, after application, subject to section 1(4), of any applicable deductions set out in section 1(3), a director must deduct, when determining the income of a cohabiting partner of an applicant or client where the cohabiting partner is not an applicant or client, the total of 100% of the income up to $1200 and 25% of the remainder from the following income:

(a) a Canada disability benefit under the *Canada Disability Benefit Act* (Canada) that is not paid for the purpose of offsetting a person's cost of applying for a disability tax credit under subsection 118.3(1) of the *Income Tax Act* (Canada);

(b) income, other than a death benefit, under the *Canada Pension Plan* (Canada);

(c) income under the *Employment Insurance Act* (Canada);

(d) income under the *Workers' Compensation Act*;

(e) pension income.

(2) Effective January 1 of the calendar year immediately following the calendar year in which this section comes into force, the dollar amount set out in subsection (1) must be adjusted annually by an amount equal to

(a) the dollar amount as of December 31 of the previous calendar year,

multiplied by

(b) the Alberta escalator.

Employment and self-employment income deductions

4(1) Subject to section 5, after application, subject to section 1(4), of any applicable deductions set out in section 1(3), a director must deduct, when determining income, employment and self-employment income amounts in accordance with an order made under subsection (2) subject to subsection (3).

(2) The Minister may, by order, determine

(a) the employment and self-employment income amounts that a director must deduct when determining income, and

(b) the method for determining additional employment and self-employment income amounts that a director must deduct when determining income.

(3) If the hourly minimum wage established by section 9(1)(a) of the *Employment Standards Regulation* (AR 14/97) is increased, the employment and self-employment income amounts that a director must deduct when determining income determined in an order made under subsection (2)(a) are increased by a percentage, rounded to 3 decimal places, equal to the percentage increase in the minimum wage and rounded up to the nearest dollar.

Deductions do not apply

5 The deductions set out in sections 2(1) and 3(1) and the deductions determined, subject to section 4(3), under an order made under section 4(2) do not apply if a director determines that income has not been reported in a timely manner or has been willfully misreported.

Determining income after income deductions

6(1) After application of the deductions set out in sections 2(1) and 3(1) and the deductions determined, subject to section 4(3), under an order made under section 4(2), a director may, in accordance with this section, determine income for the purposes of sections 3(1)(b), 4(1)(b), 5(a) and 11(1)(b) and (c) of this Regulation.

(2) Income other than self-employment income is determined by one of the following methods:

(a) if income is reported monthly, based on the prior month's actual income;

(b) if income is reported other than monthly, based on

(i) the actual monthly income of the prior reporting period,

(ii) the prior reporting period's actual income, prorated over the number of months in that period, or

(iii) a combination of the methods set out in subclauses (i) and (ii).

(3) Self-employment income is determined, subject to subsections (4) and (5), based on the previous year's self-employment income, prorated over 12 months.

(4) Subject to subsection (5), if, in a director's opinion, there is a significant change in the present year's self-employment income compared to the previous year's self-employment income, the director may prorate the previous year's self-employment income over a period other than 12 months.

(5) If, in a director's opinion, income is reported that relates to a different or longer period than the period in which the income is reported, the director may apply the income to, or prorate the income over, the different or longer period.

Exempt income

7(1) The following income reportable under the *Income Tax Act* (Canada) is exempt, and a director must not include it, when determining income:

(a) honoraria;

(b) death benefits;

(c) income for the benefit of a dependent child under the following:

(i) a child support agreement;

(ii) the *Child, Youth and Family Enhancement Act*;

(d) a benefit under the Act;

(e) a benefit as defined in the *Seniors Benefit Act* if it is received by a cohabiting partner;

(f) RRSP withdrawals;

(g) a payment under a registered disability savings plan under section 146.4 of the *Income Tax Act* (Canada);

(h) an award or prize given in recognition of outstanding academic or community achievement;

(i) a scholarship, bursary or other form of contribution used for educational purposes at a school or educational establishment recognized under the *Income Tax Act* (Canada);

(j) an education or training grant, an artist grant or a grant to start a business;

(k) money received for home repairs or renovations from the Government or the Government of Canada or from a community service organization;

(l) income exempted by the Minister under subsection (3) where

(i) an applicant or client or the applicant's or client's cohabiting partner is residing in a facility, and

(ii) the Minister determines that the inclusion of the income would create a financial hardship;

(m) a payment received from the Government, the Government of Canada or the government of another province or territory and exempted by the Minister under subsection (4).

(2) A Canada disability benefit under the *Canada Disability Benefit Act* (Canada) is exempt, and a director must not include it, when determining income for the purposes of determining

(a) whether a person is eligible to receive a modified living allowance benefit, and

(b) the amount of any benefit a person who is eligible to receive a modified living allowance benefit is eligible to receive.

(3) The Minister may exempt income for the purpose of subsection (1)(l).

(4) The Minister may exempt, for the purpose of subsection (1)(m), a payment received from the Government, the Government of Canada or the government of another province or territory.

Schedule 2

Determination of Value of Assets

Valuation of assets

1(1) A director must value an asset, excluding an annuity, at market value less any debt secured against the asset evidenced by a written agreement.

(2) A written agreement referred to in subsection (1) must require repayment of the debt at a rate of interest that, in a director's opinion, was reasonable at the time the agreement was made.

(3) A director must value an annuity at its present value as calculated by the director in accordance with generally accepted accounting practices.

(4) When determining the value of a person's assets, a director must include an asset disposed of by a person to another person if, in the director's opinion, the asset was disposed of for less than fair market value to establish or maintain eligibility for a benefit.

(5) When determining the value of a person's assets, a director must consider a jointly or communally owned asset to be equally owned by each owner unless a written document establishes the percentage of ownership of each owner.

Exempt assets

2(1) In this section, "vehicle" means a motor vehicle as defined in the *Traffic Safety Act* that is not used primarily as a recreational vehicle as defined in the *Vehicle Equipment Regulation* (AR 122/2009).

(2) The following assets are exempt, and a director must not include them, when determining the value of assets:

(a) one principal residence;

(b) one vehicle and one vehicle adapted to accommodate the disability of the applicant or client or the applicant's or client's cohabiting partner or dependent child;

(c) a locked-in retirement account;

(d) a registered disability savings plan under section 146.4 of the *Income Tax Act* (Canada);

(e) clothing and reasonable household items;

(f) a prepaid funeral;

(g) an asset held by a trustee in a bankruptcy proceeding;

(h) a non-commutable annuity purchased on or before February 1, 2002;

(i) a payment received from the Government, the Government of Canada or the government of another province or territory and exempted by the Minister under subsection (3), and any asset to the extent it was purchased with that payment;

(j) a payment of a non-recurring nature received from a First Nation, paid equally to each member on the First Nation's band list and exempted by the Minister under subsection (4), and any asset to the extent it was purchased with that payment;

(k) an asset exempted by a director under subsection (5) if it is disposed of within the time specified by the director;

(l) an asset held in a trust of which the applicant or client or the applicant's or client's cohabiting partner is a beneficiary;

(m) money received if that money is

(i) not income as determined by a director in accordance with Schedule 1, and

(ii) invested within 365 days from the date of receipt in

(A) a trust of which the applicant or client or the applicant's or client's cohabiting partner is a beneficiary, or

(B) an asset described in clauses (a) to (f).

(3) The Minister may exempt, for the purpose of subsection (2)(i), a payment received from the Government, the Government of Canada or the government of another province or territory.

(4) The Minister may exempt, for the purpose of subsection (2)(j), a payment of a non-recurring nature received from a First Nation and paid equally to each member on the First Nation's band list.

(5) A director may exempt an asset for the purpose of subsection (2)(k).

Schedule 3

Personal Benefits

Travel benefit

1(1) A travel benefit for travel expenses may be provided if

(a) a client or client's dependent child has a health problem that, in a director's opinion,

(i) requires regular access to insured health services in Alberta, and

(ii) is life-threatening or could be permanently debilitating unless the insured health services are provided,

(b) a client or client's dependent child must travel outside the client's or client's dependent child's community

(i) to receive, on a non-emergency basis, insured health services in Alberta,

(ii) to appear in court if required by the Government or the Government of Canada,

(iii) to comply with a court order, or

(iv) at the request of a director,

(c) a client or client's dependent child must travel outside the client's or client's dependent child's community to receive addiction treatment in a residential addiction program approved by the provincial health agency established for the mental health and addiction health services sector or a regional health authority under the *Provincial Health Agencies Act*,

(d) a client who is eligible to receive a benefit under section 3.02 of the Act requires access to a training or employment program that supports the client's efforts to obtain employment, or

(e) a client requires access to a structured program.

(2) A travel benefit for travel expenses may be provided for a person to accompany

(a) a client if

(i) the person must, due to the client's medical condition, accompany the client, and

(ii) a travel benefit is provided to the client under subsection (1)(a), (b), (c) or (d),

or

(b) a client's dependent child if

(i) the client is unable to accompany the child due to the client's medical condition,

(ii) the person must accompany the child due to the child's medical condition or age, and

(iii) a travel benefit is provided to the client under subsection (1)(a), (b) or (c).

Child care benefit

2(1) Subject to subsection (2), a child care benefit may be provided for

(a) the portion payable by a client of the cost for the client's dependent child to participate in a child care program as defined in the *Early Learning and Child Care Act*, or

(b) the cost payable by a client for other child care arrangements for the client's dependent child.

(2) A child care benefit may be provided only if

(a) no adult member of the household is able to care for the client's dependent child due to

(i) employment,

(ii) a medical condition,

(iii) involvement with a training, employment or structured program, or

(iv) attendance at an addictions treatment program,

(b) a physician or a psychologist determines that it is in the client's dependent child's best interests, or

(c) it is unreasonable to expect the client's dependent child to accompany the client for travel under section 1(1)(b) and no other adult member of the household is available, for any reason, to provide child care.

Prenatal needs benefit

3 A prenatal needs benefit may be provided for items required for prenatal care if a client, client's cohabiting partner or client's dependent child is at least 14 weeks pregnant.

Infant needs benefit

4 An infant needs benefit may be provided for items required for the care of a client's infant child if the client or the client's cohabiting partner

(a) is at least 36 weeks pregnant or has given birth and the dependent child is not more than 6 months old, or

(b) has adopted, within the last 6 months, a dependent child who is less than 12 months old.

Children's education benefit

5 A children's education benefit may be provided for fees and costs payable by a client for the client's dependent child to attend school from pre-school to high school if the child is registered to attend.

Employment and training allowance

6 Where a client who is eligible to receive a benefit under section 3.02 of the Act is seeking employment, is applying for or participating in a training or employment program or has a job offer, an employment and training allowance may be provided for

(a) applications, deposits, registration or testing fees for the training or employment program, and

(b) tools, goods, services or any other matter that enhances the client's employability.

Special goods and services benefit

7(1) A special goods and services benefit may be provided if a client requires

(a) medical supplies or equipment, including maintenance of that equipment, essential to manage the client's condition,

(b) a special diet or supplement,

(c) specialized clothing,

(d) a guide dog as defined in the *Blind Persons' Rights Act* or a service dog as defined in the *Service Dogs Act*, or

(e) a medical alert service.

(2) A special goods and services benefit provided under subsection (1)(a) or (b) may also be provided if required by a client's dependent child.

Establishing-a-new-residence benefit

8 An establishing-a-new-residence benefit may be provided for costs related to the establishment by a client of a new principal residence if the client is

(a) leaving an institution, or

(b) escaping a situation in which the client or the client's dependent child is being abused.

Moving benefit

9 A moving benefit may be provided for the transportation of the household items of a client, client's cohabiting partner and client's dependent child if it is essential for the client to move to a new principal residence for any of the following reasons:

(a) the client or the client's cohabiting partner has confirmed full-time employment in Canada that assures the client's reasonable future financial independence;

(b) the client requires accommodation that is adapted to the client's or client's dependent child's particular disability;

(c) the client's current accommodation is endangering the health or safety of the client or client's dependent child;

(d) the client is moving to escape a situation in which the client or client's dependent child is being abused;

(e) the client is moving to another province for financial or social support.

Remote community benefit

10 A remote community benefit may be provided for a client's increased costs to maintain a principal residence in a permanent community without all-season road access.

Emergency benefit

11 An emergency benefit may be provided for reasonable and essential goods or services required on an emergency basis if, in a director's opinion, the client or client's dependent child is in a situation that presents a serious health or safety risk due to circumstances beyond the client's control.

Funeral benefit

12 If the income and assets of the client and client's cohabiting partner, or the client's and client's cohabiting partner's estates, are inadequate and there are no other means to pay, a funeral benefit may be provided for

(a) funeral expenses to bury or cremate the client, client's cohabiting partner or client's dependent child in Alberta, or

(b) transportation expenses to transport the remains of the client, client's cohabiting partner or client's dependent child who died in Alberta to be buried or cremated within Canada.

Transition benefit

13(1) Subject to subsection (2), a transition benefit may be provided to a formerly eligible client, as defined in section 12.2(c) of the Act, to whom section 12.6(1) of the Act applies.

(2) A transition benefit must not be provided to a formerly eligible client referred to in subsection (1) who

(a) is receiving a modified living allowance benefit, or

(b) becomes ineligible to receive a benefit under section 3.02 of the Act and who a director subsequently determines is eligible to receive a benefit under section 3.02 of the Act.

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